

small and medium enterprises to counter emerging air quality issues. It is working in crop residue management with farmers in Punjab and Haryana. In 2020, it started working on airshed management and improving air quality in Indore Metropolitan Region in partnership with the Madhya Pradesh Pollution Control Board, Smart City Indore.

Singhvi of Grant Thornton Bharat points out that several firms are making strong efforts to protect employees during high pollution periods, but these efforts are largely reactive and fragmented, addressing symptoms rather than the root cause.

The Centre had also launched the National Clean Air Programme (NCAP) in 2019 to address air pollution in 130 cities. Under NCAP and 15th Financial Commission air quality grants, a performance-based incentive grant of ₹13,865.52 crore was provided to these cities to implement measures to control air pollution.

Lekha Chakraborty, Professor at New Delhi-based think tank NIPFP, believes in building on the 15th Finance Commission's performance grants (outcome-linked fiscal devolution) tied to PM reduction targets in million-plus cities; a broader framework incorporating air quality metrics like PM_{2.5}/PM₁₀ reductions and airshed performance into tax devolution; and grants with multi-year commitments. "Sectoral measures could include pollution charges with revenues recycled into clean technologies, expanded PLI for EVs and abatement equipment, and support for crop residue management," she says.

Well-designed fiscal tools can help by internalising externalities, rewarding measurable improvements, and strengthening account-



SEEMA ARORA

DEPUTY DIRECTOR GENERAL & CEO, CENTRE OF EXCELLENCE FOR SUSTAINABLE DEVELOPMENT, CII

"Understanding of air quality management and its impact on businesses is still evolving... For companies, the biggest trigger is when industrial activities are banned"



PRADEEP SINGHVI

EXECUTIVE DIRECTOR, ENERGY AND CLIMATE PRACTICE, GRANT THORNTON BHARAT

"Many MNCs are increasingly favouring cities such as Hyderabad over highly polluted regions like Delhi NCR, recognising that air quality has a direct bearing on health, productivity"

ability across states and cities. Green bonds offering a promising avenue, enabling states and municipalities to raise dedicated, low-cost capital for pollution control infrastructure, urban grants linked to enforcement and dust control, combined with an Airshed Fiscal Mechanism for transboundary coordination and robust monitoring and independent evaluation are some of the measures Chakraborty advocates.

A World Bank report in December last year had noted that nearly one billion people in the Indo Gangetic Plains and Himalayan Foothills breathe unhealthy air, resulting in around one million people dying prematurely every year.

It pointed out that international experience shows that rapid and sustained improvements can be achieved when governments commit to ambitious targets and back them with action.

For example, China cut PM_{2.5} concentrations in the biggest urban agglomeration, the Jing-Jin-Ji region (comprising Beijing, Tianjin, and Hebei) by over 30% in just five years through significant multi-sectoral actions, and strong enforcement. Similarly, Mexico City was once amongst the most polluted cities in the world but managed to almost halve air pollution by adopting an airshed governance approach, transforming its transport system, tightening vehicle standards, and relocating heavy industry.

As the fastest growing major economy with hopes of becoming the third-largest economy in the coming years, India is depending heavily on its demographic dividend and investment climate. As is now evident, air quality will be a key monitorable for both. **BT**

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